



Introduction: The Entrepreneur and Entrepreneurial Resources

Lecture 1

Christian Johannes Hüning

Goethe University Frankfurt | Faculty of Economics and Business Administration

TODAY'S CLASS SCHEDULE

1. Welcome and Overview
2. Introduction to Strategic Entrepreneurship
3. The Entrepreneur
4. The Vision
5. Entrepreneurial Resources
6. Summary & Assignment

ORGANIZATIONAL ISSUES

- Lecturer: Dipl.-Kfm. Christian Hüning, M.Sc.
- Syllabus with detailed course description
- Syllabus, slides, further information/documents on Moodle
- Moodle as primary source of communication!

REGARDING QUESTIONS

- If you have questions, please ask me in class or send me an e-mail:
c.huening@em.uni-frankfurt.de
- Content-related and organizational questions will be addressed in class
- I will respond by e-mail only for non-public/private matters

Business Plan and Pitching assignment (30% of grade)

- Submission date: June 10th, 2023
- Pitching date: June 12th, 2023
- Groups of 4 to 5 students (please send me a list with your group members until May 10th, 2023)
- Business plan should be around 5 pages
- Must contain a business model canvas
- Pitch lasts 5 minutes + 10 minutes BA questions
- Show understanding of covered content
- How to hand in your documents: By e-mail (c.huening@em.uni-frankfurt.de) and on Moodle (including your names and matriculation numbers)

Exam (70% of grade)

- Date: July 19th, 2023
- Duration: 60 minutes
- You can obtain 60 points in the exam
- All covered contents and materials (slides, lectures, required readings) are relevant (except stated otherwise)

HOW TO DO WELL

- Study the reading material
- Attend the lectures
- Participate actively in the lectures
- Find great team mates
- Develop a great business plan



AND DON'T DO THIS...

Dear Hüning,

I am one of Advanced Management, Masters in International Management program.

In fact I am on semester leave, but I have registered for the ADMA Exam on 20th Feb. I have few pointed questions regarding exam.

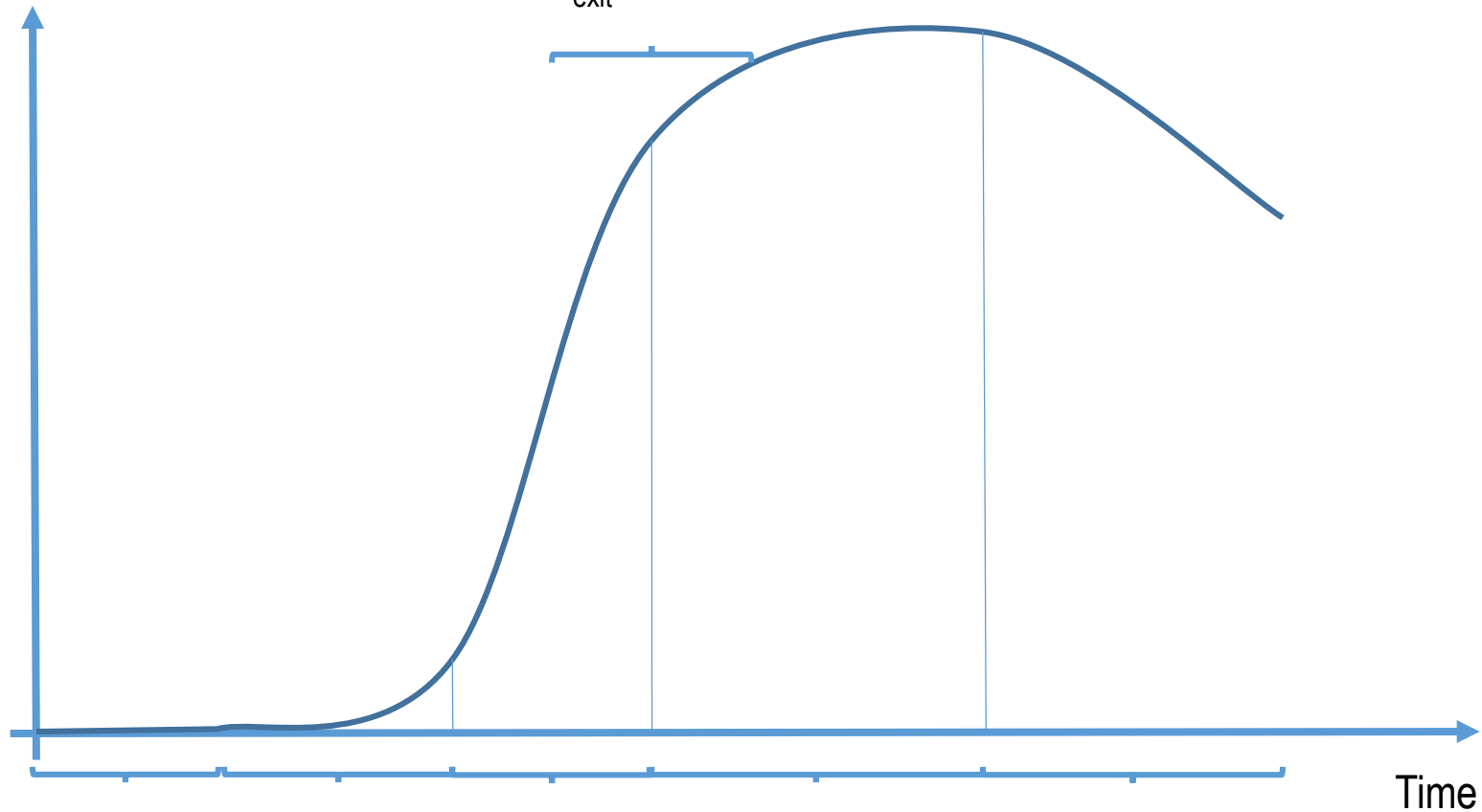
1. As I was not participating in the class, how could I know the Guest Lectures? Even I follow the lecture videos but the guest lectures are not included. Could you please help to know the concept a little bit?
2. As I saw the lecture videos, there was mentioned about case studies and I could not find any case study at Moodle, where can I find the case studies?
3. Do we have chapter 5? I could not find it in Moodle
4. As I saw at the video, is the session 9 (Innovation and Value) not included at the exam?



COURSE CONTENTS

Lecture 8b:

- Entrepreneurial exit



Seed

Start-up

Growth

Maturity

Decline

Time

Lecture 2:

- Opportunity Identification

Lectures 3-7:

- Strategy
- BM redefinition
- Team
- Law/taxation
- Corporate Finance
- Financing

Lectures 7&8:

- Financing
- Leadership
- Preconditions
- Core competencies

Management lectures

?

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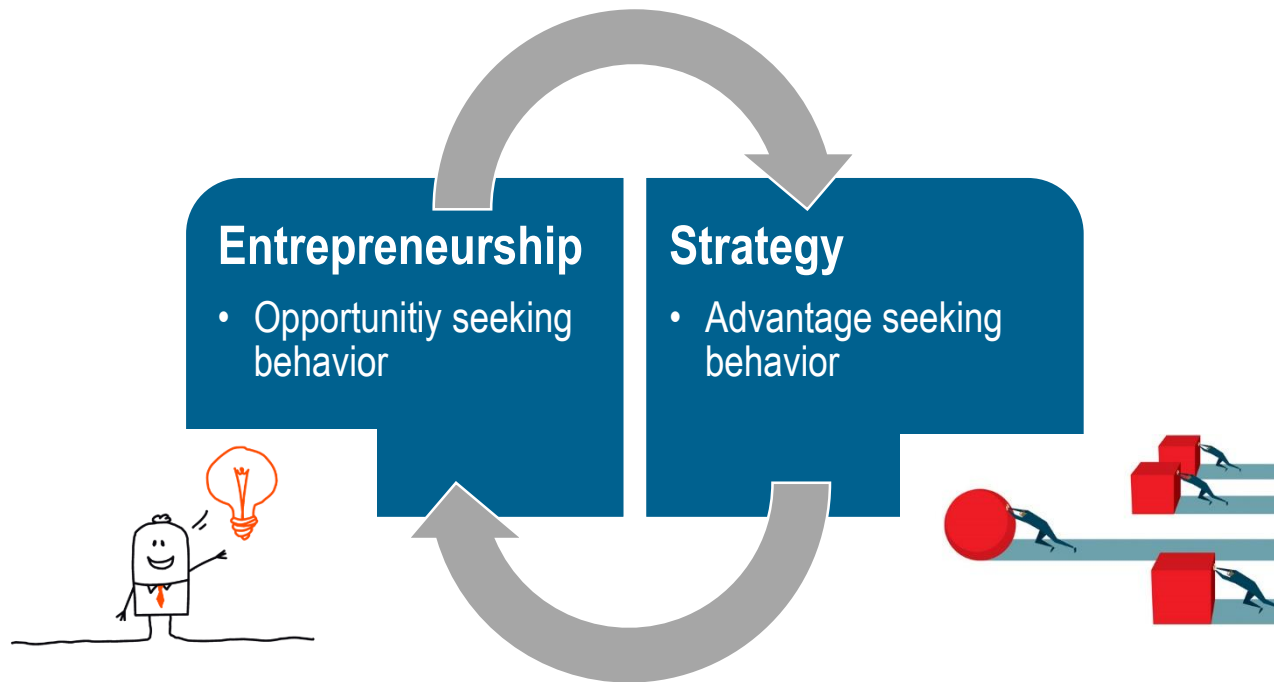
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“Strategic entrepreneurship is entrepreneurial action with a strategic perspective.”
(Hitt et al., 2001)

STRATEGIC ENTREPRENEURSHIP



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- Dou et al. (2021). Transgenerational entrepreneurship in entrepreneurial families: What is explicitly learned and what is successfully transferred?. Entrepreneurship & Regional Development, 33(5-6), 427-441.
- Kerr, S. P., Kerr, W. R., & Xu, T. (2018). Personality traits of entrepreneurs: a review of recent literature. Foundations and Trends in Entrepreneurship, 14(3), 279-356.

**“An entrepreneur is someone who
perceives an opportunity and creates
an organization to pursue it.”
(Bygrave, 1997)**

ENTREPRENEURS: AGENTS OF CHANGE

In the 1930s, Schumpeter described entrepreneurs as a force for creative destruction.



“Entrepreneurs are persons who are **ingenious** and **creative** in finding ways that add to their **own wealth, power, and prestige.**”
(Baumol, 1996)

Intrapreneur: A person within a large corporation who takes direct responsibility for turning an idea into a profitable finished product through assertive risk taking and innovation.

Growth Type

Main Feature: Performance orientation. The ultimate goal is to build a profitable venture. These entrepreneurs bring new and innovative products to the market, hire more employees and manage to survive on the market longer than income replacement or lifestyle founders. They contribute to the process of “creative destruction” (Schumpeter, 1942) by challenging established firms through their innovations.

(Example: The typical “Silicon Valley Entrepreneur”)

Source: Wennberg & DeTienne (2014)

Lifestyle Type

Non-performance-based goals. Lifestyle entrepreneurs establish a venture to work in an industry they are passionate about (e.g. sports equipment industry), to develop a social venture (e.g. community organizations), or to have more flexibility (e.g. care for needy family members).

(Example: Mom-and-pop shop)

Source: Wennberg & DeTienne (2014)

Income Replacement Type

For income replacement founders, entrepreneurship is often the only alternative to unemployment. An income replacement entrepreneur could, for example, establish a landscaping or laundry service while attending college. The purpose of the venture is to supplement his/her current income and he/she will disband the venture once it has served its purpose (Folta et al., 2010; Wennberg & DeTienne, 2014).

(Example: Street vendors in developing countries)

Source: Wennberg & DeTienne (2014)

BEST PREDICTOR FOR BECOMING AN ENTREPRENEUR

What is the best predictor whether someone becomes an entrepreneur?

Their parents (if they are entrepreneurs)!!!
(Newman, 2002)

Reasons, why children of entrepreneurs are more likely to become entrepreneurs themselves:

1. Parents serve as role models
2. Access to relevant resources
 - Financial capital
 - Social capital (i.e., access to relevant networks)
 - Human capital (i.e., business-related, firm- or industry-specific knowledge)
3. They inherit the family business

COMMON ENTREPRENEURIAL TRAITS

TABLE 1-1

Common entrepreneurial traits

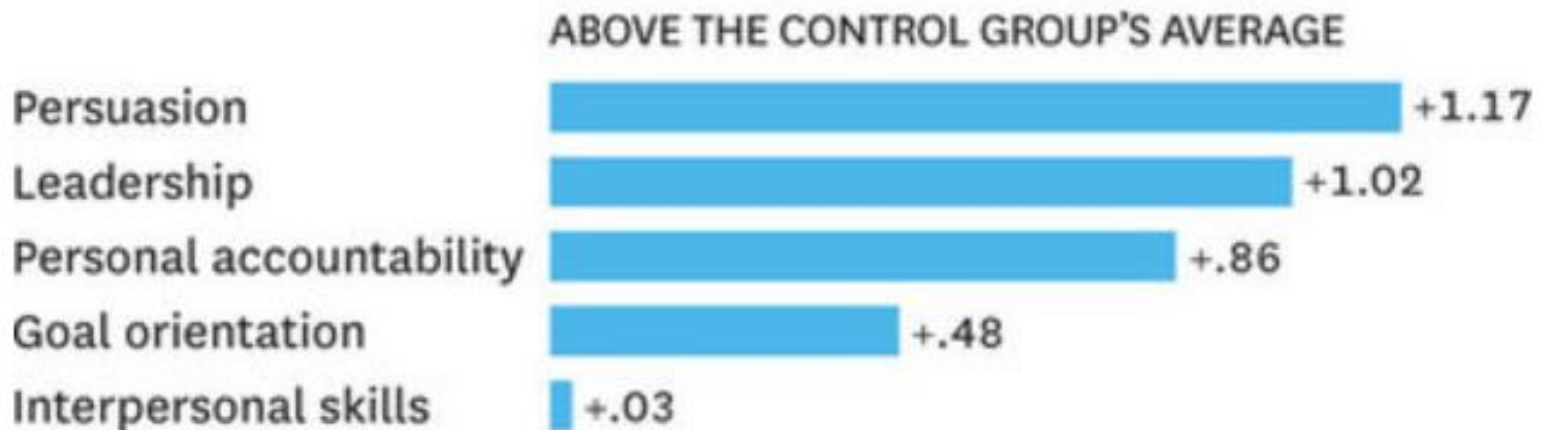
Ideas and drive	People skills	Work style	Financial savvy	Entrepreneurial background
Creativity	Leadership	Goal oriented	Comfortable with finance	Family members have started businesses
Vision	Persuasion	Comfortable with uncertainty	Comfortable with financial governance	Friends have started businesses
Ability to identify opportunities	Influence	Self-challenging		You have worked at a small business or startup
Passion	Network building	Solitary: don't like working for others; prefer being own boss		
	Ability to excite people by vision	Rarely satisfied or complacent; can't sit still		
		Driven to plan and be prepared		
		Experimental mindset; OK with starting small and recognizing and moving past failures		
		Perseverance in the face of adversity		
		Tendency to continuously look for a better or different way to do things		
		Ability to close a deal		
		Ability to listen, trust, take advice		

Sources: Bill J. Bonnstetter, "New Research: The Skills That Make an Entrepreneur," HBR.org, December 7, 2012; Daniel Isenberg, "Should You Be an Entrepreneur? Take This Test," HBR.org, February 12, 2010; Harvard Business Review, "For Founders, Preparation Trumps Passion," *Harvard Business Review*, July–August 2015; HBS Working Knowledge, "Skills and Behaviors That Make Entrepreneurs Successful," June 6, 2016; Veroniek Collewaert and Frederik Anseel, "How Entrepreneurs Can Keep Their Passion from Fading," HBR.org, June 16, 2016.

TRAITS OF SERIAL ENTREPRENEURS

THE KEY TRAITS OF A SERIAL ENTREPRENEUR

Based on a control group of 17,000 working adults, serial entrepreneurs tested above average in the following skills:



SOURCE TARGET TRAINING INTERNATIONAL

HBR.ORG

THE BIG-5 PERSONALITY TRAITS

- **Conscientiousness:** Tendency to be organized and dependable, show self-discipline, act dutifully, aim for achievement, and prefer planned rather than spontaneous behavior.
- **Openness to experience:** Openness reflects the degree of intellectual curiosity, creativity and a preference for novelty and variety a person has.
- **Emotional stability/neuroticism:** Tendency to be prone to psychological stress.
- **Extraversion:** Energetic, surgency, assertiveness, sociability and the tendency to seek stimulation in the company of others, and talkativeness.
- **Agreeableness:** Tendency to be compassionate and cooperative rather than suspicious and antagonistic towards others.

Multiple Regression With Entrepreneurial Status as the Dependent Variable

Trait	β/R^a	SE	t
Neuroticism	-.12	.03	4.80*
Extraversion	.09	.02	3.88*
Openness	.18	.02	7.67*
Agreeableness	-.22	.02	9.00*
Conscientiousness	.26	.02	10.32*
Multiple R	.37	.02	16.94*

Note. Entrepreneur = 1, and manager = 0.

^a With the exception of the multiple *R* estimate in the last row, all estimates in the β/R column are standardized regression coefficients.

* $p < .01$.

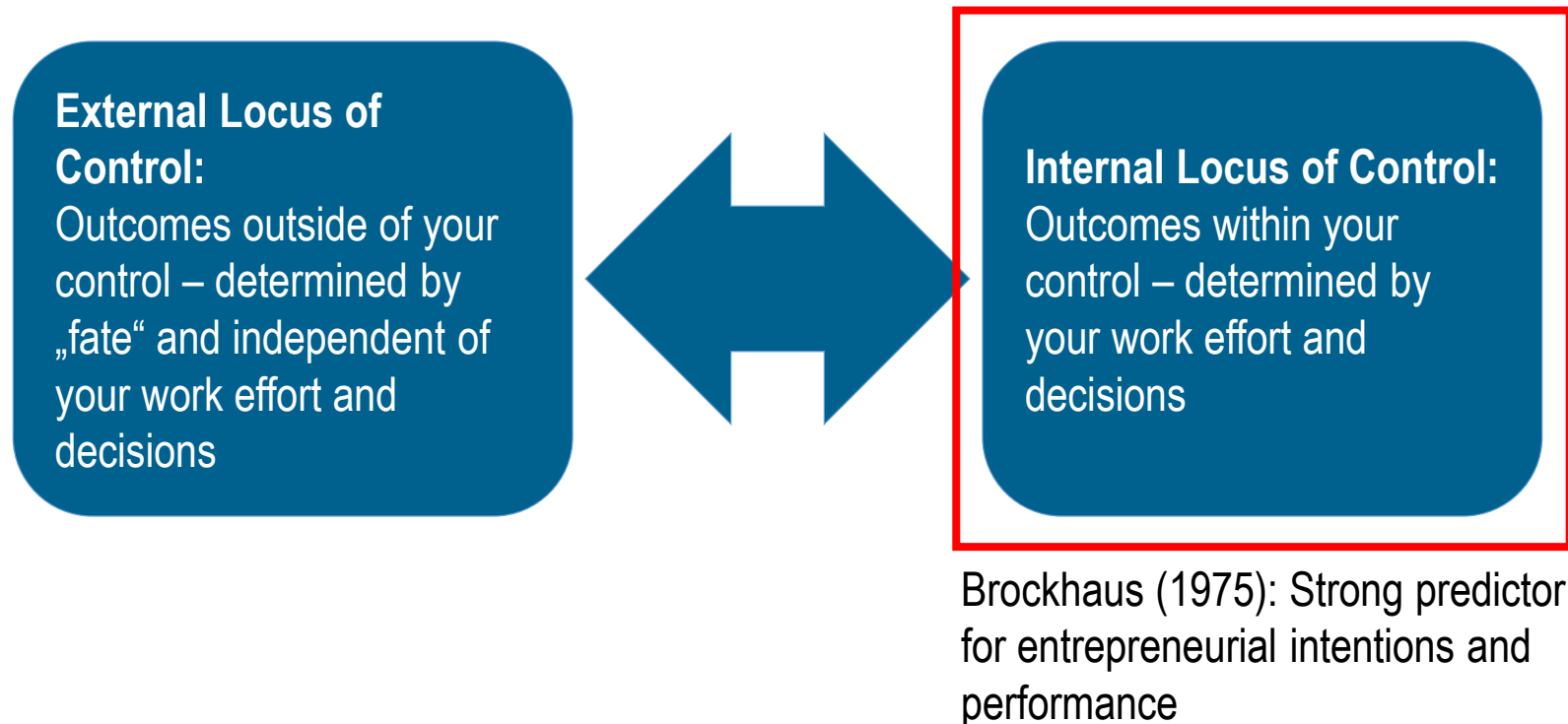
Source: Zhao and Seibert (2006)

BIG-5 PERSONALITY TEST

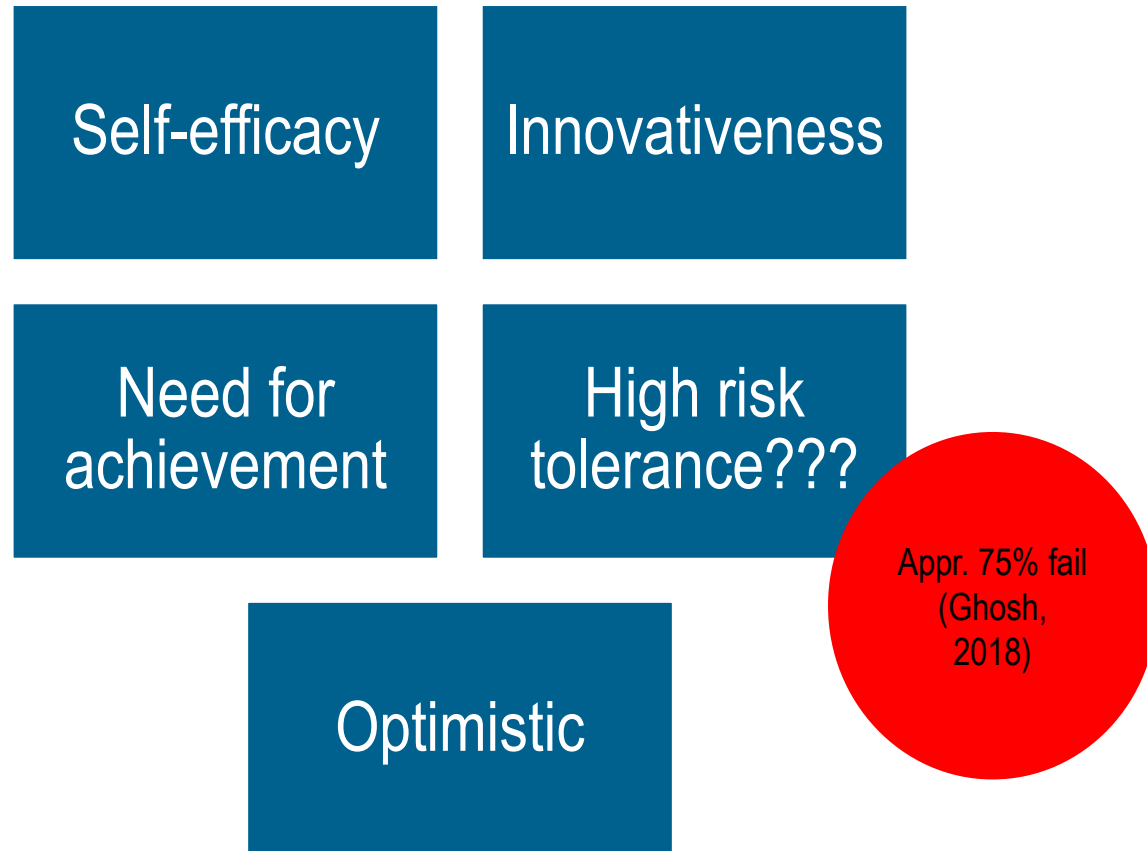
- Fill out the Big-5-test!
- Domain: <https://openpsychometrics.org/tests/IPIP-BFFM/>



LOCUS OF CONTROL



OTHER PERSONALITY TRAITS OF ENTREPRENEURS



Source: Kerr et al. (2018)

What's Your Personality Type?

Use the questions on the outside of the chart to determine the four letters of your Myers-Briggs type.
For each pair of letters, choose the side that seems most natural to you, even if you don't agree with every description.

1. Are you outwardly or inwardly focused? If you:

- Could be described as talkative, outgoing
- Like to be in a fast-paced environment
- Tend to work out ideas with others, think out loud
- Enjoy being the center of attention

then you prefer
E
Extraversion

- Could be described as reserved, private
- Prefer a slower pace with time for contemplation
- Tend to think things through inside your head
- Would rather observe than be the center of attention

then you prefer
I
Introversion

2. How do you prefer to take in information? If you:

- Focus on the reality of how things are
- Pay attention to concrete facts and details
- Prefer ideas that have practical applications
- Like to describe things in a specific, literal way

then you prefer
S
Sensing

- Imagine the possibilities of how things could be
- Notice the big picture, see how everything connects
- Enjoy ideas and concepts for their own sake
- Like to describe things in a figurative, poetic way

then you prefer
N
Intuition

3. How do you prefer to make decisions? If you:

- Make decisions in an impersonal way, using logical reasoning
- Value justice, fairness
- Enjoy finding the flaws in an argument
- Could be described as reasonable, level-headed

then you prefer
T
Thinking

- Base your decisions on personal values and how your actions affect others
- Value harmony, forgiveness
- Like to please others and point out the best in people
- Could be described as warm, empathetic

then you prefer
F
Feeling

4. How do you prefer to live your outer life? If you:

- Prefer to have matters settled
- Think rules and deadlines should be respected
- Prefer to have detailed, step-by-step instructions
- Make plans, want to know what you're getting into

then you prefer
J
Judging

- Prefer to leave your options open
- See rules and deadlines as flexible
- Like to improvise and make things up as you go
- Are spontaneous, enjoy surprises and new situations

then you prefer
P
Perceiving

ISTJ Responsible, sincere, analytical, reserved, realistic, systematic. Hardworking and trustworthy with sound practical judgment.	ISFJ Warm, considerate, gentle, responsible, pragmatic, thorough. Devoted caretakers who enjoy being helpful to others.	INFJ Idealistic, organized, insightful, dependable, compassionate, gentle. Seek harmony and cooperation, enjoy intellectual stimulation.	INTJ Innovative, independent, strategic, logical, reserved, insightful. Driven by their own original ideas to achieve improvements.
ISTP Action-oriented, logical, analytical, spontaneous, reserved, independent. Enjoy adventure, skilled at understanding how mechanical things work.	ISFP Gentle, sensitive, nurturing, helpful, flexible, realistic. Seek to create a personal environment that is both beautiful and practical.	INFP Sensitive, creative, idealistic, perceptive, caring, loyal. Value inner harmony and personal growth, focus on dreams and possibilities.	INTP Intellectual, logical, precise, reserved, flexible, imaginative. Original thinkers who enjoy speculation and creative problem solving.
ESTP Outgoing, realistic, action-oriented, curious, versatile, spontaneous. Pragmatic problem solvers and skillful negotiators.	ESFP Playful, enthusiastic, friendly, spontaneous, tactful, flexible. Have strong common sense, enjoy helping people in tangible ways.	ENFP Enthusiastic, creative, spontaneous, optimistic, supportive, playful. Value inspiration, enjoy starting new projects, see potential in others.	ENTP Inventive, enthusiastic, strategic, enterprising, inquisitive, versatile. Enjoy new ideas and challenges, value inspiration.
ESTJ Efficient, outgoing, analytical, systematic, dependable, realistic. Like to run the show and get things done in an orderly fashion.	ESFJ Friendly, outgoing, reliable, conscientious, organized, practical. Seek to be helpful and please others, enjoy being active and productive.	ENFJ Caring, enthusiastic, idealistic, organized, diplomatic, responsible. Skilled communicators who value connection with people.	ENTJ Strategic, logical, efficient, outgoing, ambitious, independent. Effective organizers of people and long-range planners.

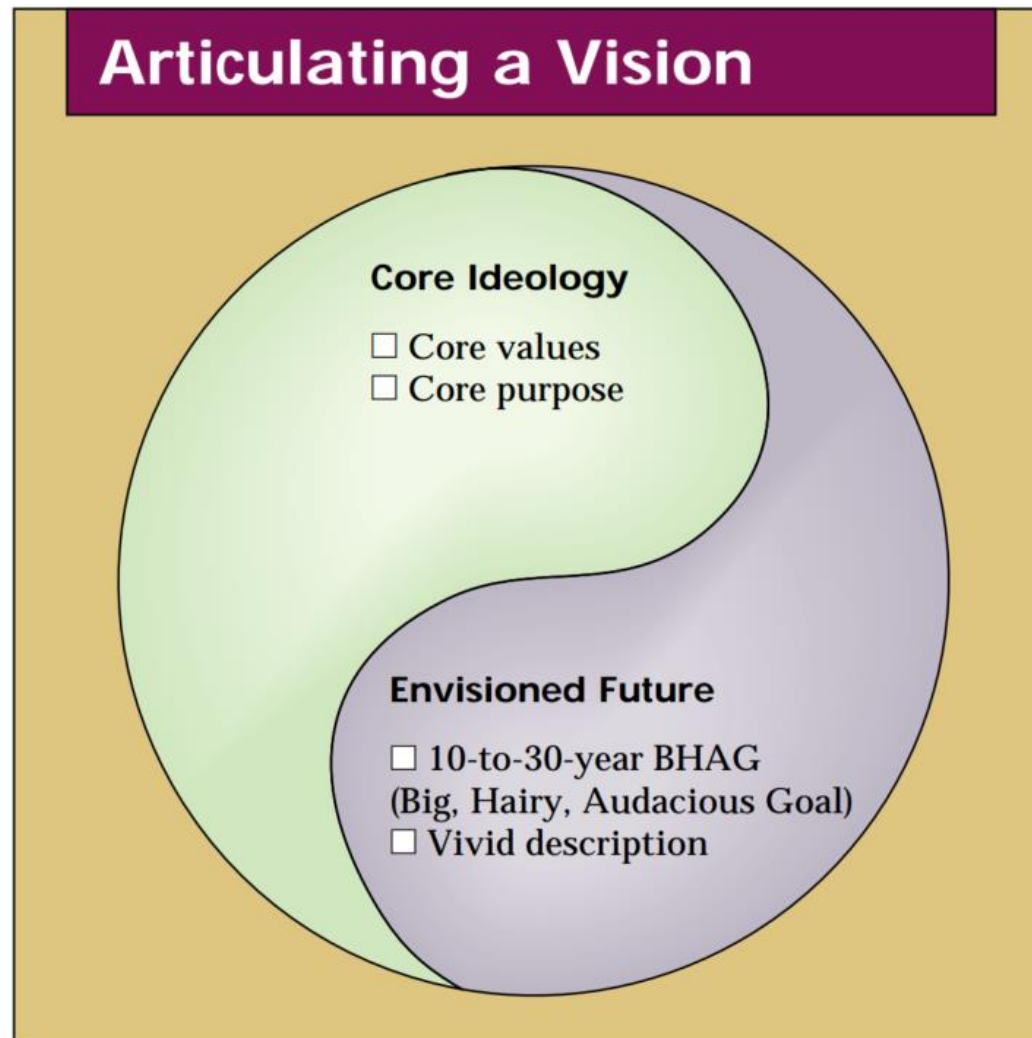
 = Typical entrepreneurial personality type

Source: Beech (2014)

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- Collins, J. C., & Porras, J. I. (1996). Building your company's vision. Harvard Business Review, 74(5), 65-77.



Putting It All Together: Sony in the 1950s

Core Ideology

Core Values

- ☐ Elevation of the Japanese culture and national status
- ☐ Being a pioneer – not following others; doing the impossible
- ☐ Encouraging individual ability and creativity

Purpose

To experience the sheer joy of innovation and the application of technology for the benefit and pleasure of the general public

Envisioned Future

BHAG

Become the company most known for changing the worldwide poor-quality image of Japanese products

Vivid Description

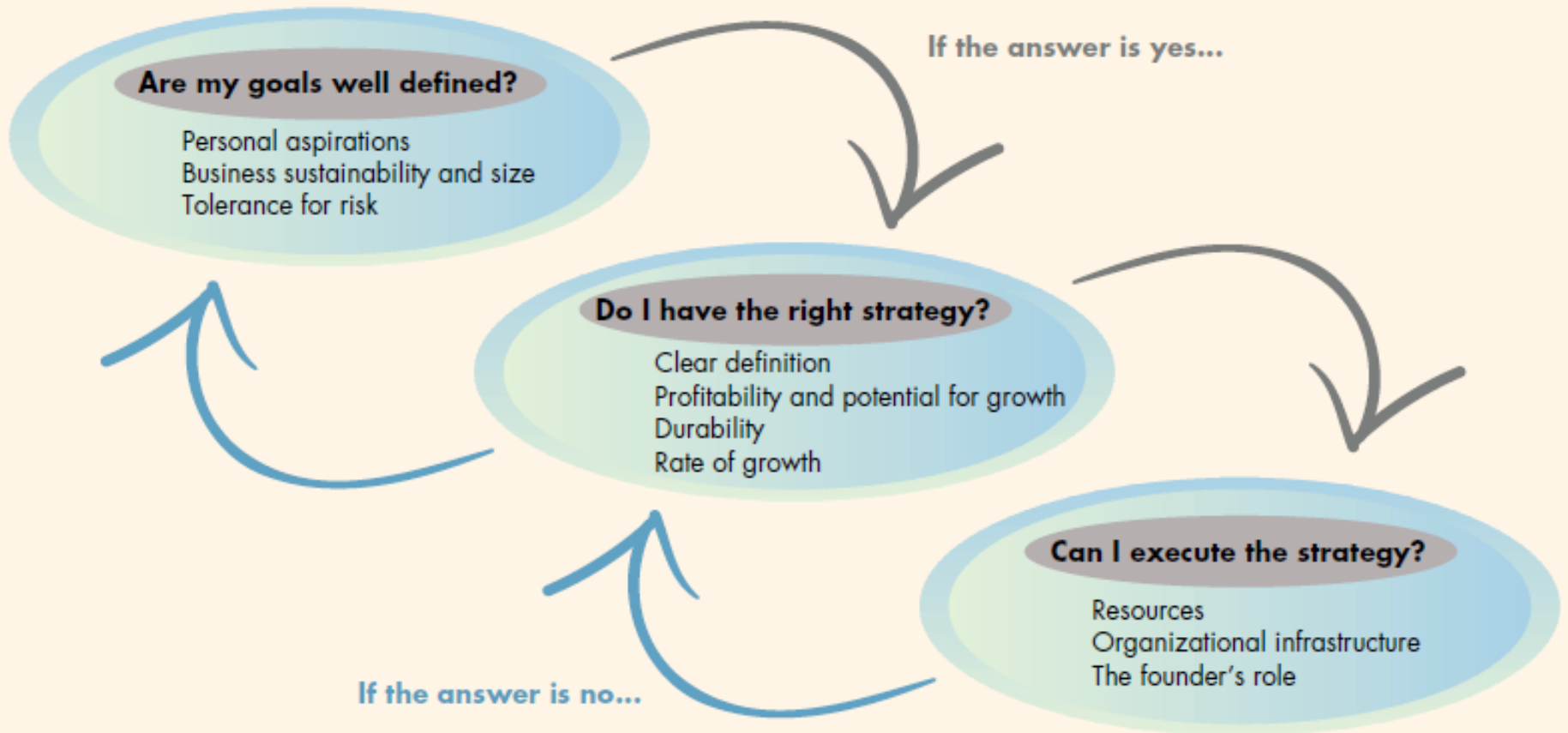
We will create products that become pervasive around the world.... We will be the first Japanese company to go into the U.S. market and distribute directly.... We will succeed with innovations that U.S. companies have failed at – such as the transistor radio.... Fifty years from now, our brand name will be as well known as any in the world...and will signify innovation and quality that rival the most innovative companies anywhere.... “Made in Japan” will mean something fine, not something shoddy.

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- Bhide, A. (1996). The questions every entrepreneur must answer. Harvard Business Review, 74(6), 120-130.

An Entrepreneur's Guide to the Big Issues



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You should...

- ...be able to define the phenomenon „strategic entrepreneurship“
- ...be able to define the phenomenon „entrepreneur“
- ...be able to name and explain the typical personality types of entrepreneurs
- ...be able to develop a great vision for your business idea
- ...ask yourself, if you are ready to become an entrepreneur

ARE YOU AN ENTREPRENEUR?

- Fill out the „Readiness Assessment“
- Fill out the MBTI-Test:
(link: <https://www.16personalities.com/free-personality-test>)

